Massey University Investment Club

Weekly Market Report

(Week ending March 27, 2026)

Editors

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About MUIC

Massey University Investment Club (MUIC) is a student-led organization on the Albany campus at Massey University. Through weekly discussions, market outlooks, and industry engagement, MUIC aims to bridge academic learning with real-world finance.

Editorial Note

This weekly report is prepared for educational purposes only by the MUIC research team to provide a student-driven perspective on New Zealand's macroeconomic and financial developments. The objective is to enhance analytical thinking and encourage discussion within the club.

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This week's report covers four key areas of focus. We begin with a **New Zealand Weekly Data Wrap**, summarizing the latest economic developments and key data releases. This is followed by *"RBNZ at a crossroads: why the OCR path depends on more than just domestic inflation,"* where we examine the broader factors shaping the monetary policy outlook. We then turn to global energy markets in *"Crude in Chaos: Oil is now trading on credibility, not just barrels,"* analyzing the impact of geopolitical tensions on oil prices. Finally, in *"Bearish, but not broken: Why rising cash is the market's clearest warning signal,"* we explore what current market positioning suggests about investor sentiment. As always, this report has been prepared by the MUIC research team for educational purposes.

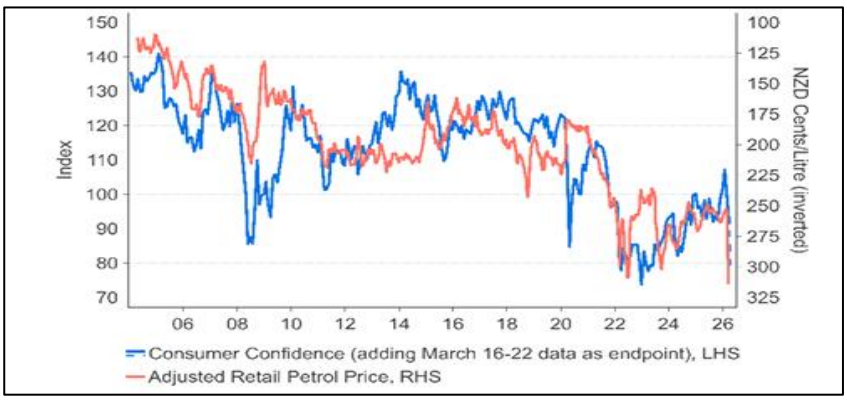
1. New Zealand Weekly Data Wrap

According to this week's ANZ weekly report, the Middle East conflict is starting to hit home, and the data is beginning to reflect that.

Consumer Confidence

Based on ANZ-Roy Morgan Consumer Confidence, consumer confidence took a sharp drop from 100.1 in February to 91.3 in March (with the final survey week dropping as low as 79.2). The reasons are pretty clear. Surging petrol prices driven by the Middle East conflict have made Kiwi Households anxious, with increasing consumer inflation expectations. When people have to pay more at the pump every day, it immediately shows up in how they feel about the economy, and that nervousness is now showing up in the data.

Figure 1: Consumer confidence vs Petrol Price



Source: Roy Morgan, MBIE, Macrobond, ANZ Research

Labour Market

ANZ has downgraded its employment outlook, expecting the unemployment rate to peak at 5.6% in mid of 2026 (up from 5.4% at the end of last year). Employment growth is expected to be just 0.2% in Q1 and 0.1% in Q2, well below previous year forecasts. Moreover, real wages are expected to turn negative, which means that workers getting a pay rise are likely to end up in a bad situation once inflation is in.

Figure 2: Consumer confidence vs Petrol Price



Source: Stats NZ, RBNZ, ICAP, Bloomberg, Macrobond, ANZ Research

Inflation

ANZ now forecasts CPI to hit 3.5% by mid 2026, driven largely by fuel cost flowing through into transportation and everyday goods. The government stepped in this week with a $50 per week cost-of-living transfer to lower-income families, which is funded from within the existing Budget 2026 Allowance. Any additional spending beyond that could raise inflation further and put the RBNZ in a very uncomfortable position.

Figure 3: CPI data

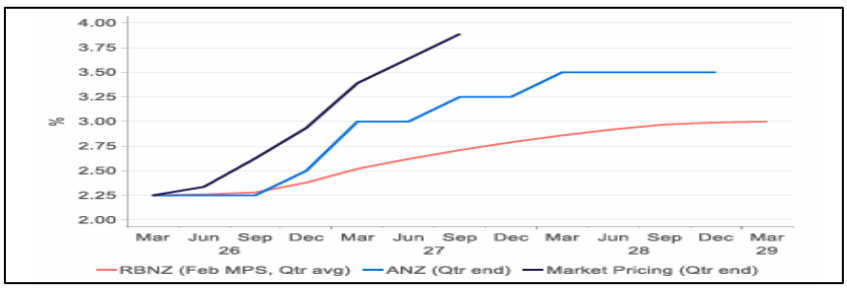


Source: Stats NZ, RBNZ, ICAP, Bloomberg, Macrobond, ANZ Research

OCR Expectation

The RBNZ is currently holding the OCR at 2.25%, but ANZ forecasts a hike to 2.50% by the end of 2026 and up to 3% by mid-2027 if inflation expectations remain high. According to this week's speech of Governor Breman, the RBNZ will not overreact to the near-term price spike that monetary policy cannot solve much about. However, she told to stay ready to act if medium-term inflation expectations start rising higher. It was a careful and measured approach. Most economists supported that action as the right one during a period of high uncertainty.

Figure 4: OCR Forecasts



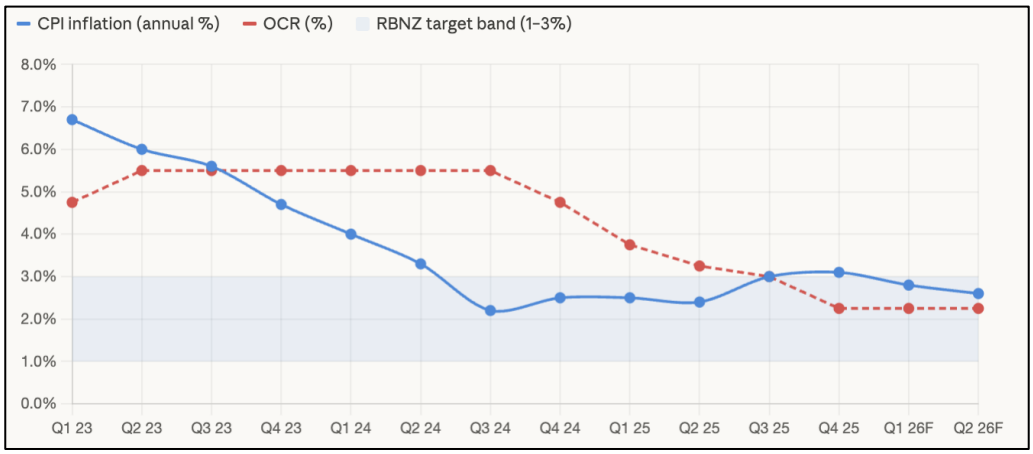
Source: Stats NZ, RBNZ, ICAP, Bloomberg, Macrobond, ANZ Research

2. RBNZ at a crossroads: why the OCR path depends on more than just domestic inflation

Inflation context and starting point

New Zealand entered 2026 with **CPI at 3.1%**, already above the RBNZ's 1-3% target range. Non-tradables inflation had eased slightly, but rising electricity costs, council rates, and food prices kept core inflation elevated. This limited the Reserve Bank's buffer to absorb new shocks. The combination of aggressive OCR cuts in 2025 and creeping headline inflation left the Committee with far less room for maneuver than previously acknowledged.

Figure 5: OCR cuts vs CPI inflation rise in 2025.



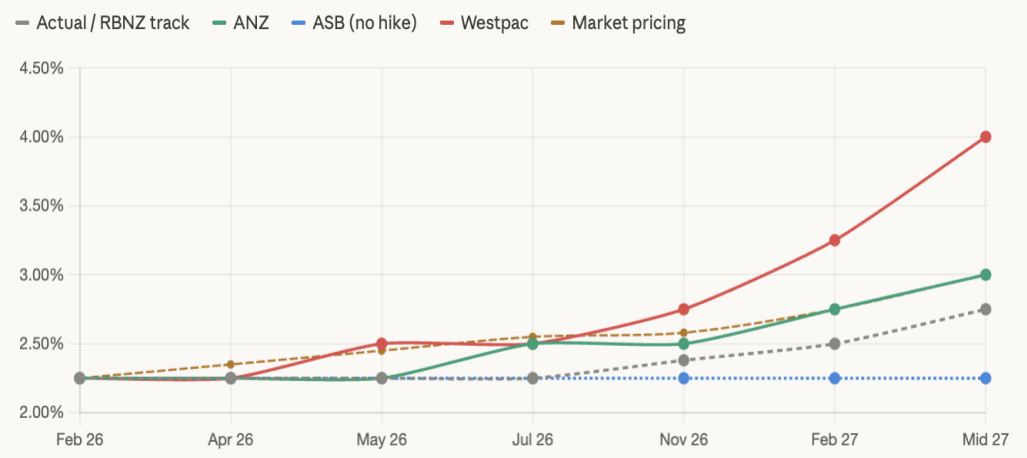
Source: Stats NZ, RBNZ. Q4 2025 actuals; 2026 indicative based on ANZ/Westpac forecasts

Global shocks: Oil, rates, and the NZD

Global developments since February have added complexity to the RBNZ's decision-making. Oil prices are the immediate concern. While a short-term spike in fuel is manageable, sustained high oil prices affect a wider range of goods and services through higher shipping costs, insurance premiums, and import prices. ANZ estimates that a 10% rise in oil could add 0.2 percentage points to quarterly inflation. More importantly, if energy costs feed into wages and other administered prices, second-round inflation effects could emerge, forcing the RBNZ to consider policy tightening despite a fragile recovery.

Wholesale rates also matter. The RBNZ sets the overnight cash rate, but longer-term wholesale rates have already risen due to global rate increases and investor expectations. New Zealand banks, which rely heavily on offshore funding, pass these higher costs onto borrowers, particularly through fixed-term mortgages. This "passive tightening" slows household spending and housing activity even before the OCR changes. Bank forecasts illustrate this uncertainty: ASB expects no change at 2.25%, while Westpac projects 4.00% by end-2027, peaking at 4.25%. Market pricing sits between these forecasts, implying 2.58% by December 2026.

Figure 6: Dispersion in bank OCR forecasts



Source: RBNZ MPS Feb 2026, bank forecasts (ANZ, ASB, Westpac, BNZ), market pricing as of late March 2026

The NZD adds another layer of complexity. In risk-off environments, the kiwi tends to weaken, supporting exporters but raising tradables inflation. Conversely, a stronger NZD reduces import costs and eases inflation pressures. Heading into 2026, the Trade Weighted Index had appreciated slightly, providing a mild disinflationary buffer. However, if global risk sentiment deteriorates further, the NZD may fall, removing this buffer while energy prices remain high. The RBNZ now faces the challenge of navigating a situation where multiple external shocks — oil, rates, and the exchange rate — are pushing inflation in the same direction while domestic growth remains fragile.
OCR outlook and policy considerations

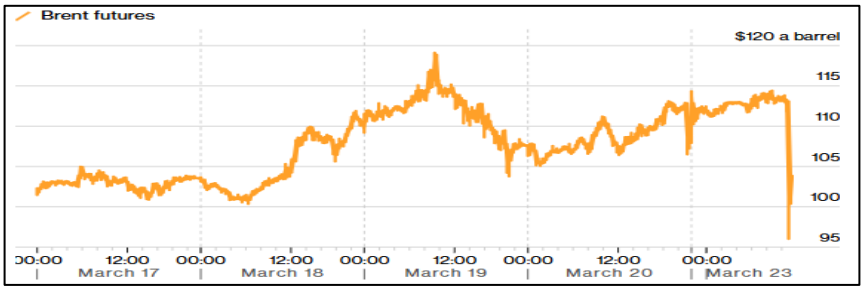
Governor Anna Breman has stressed that the RBNZ will act based on medium-term inflation expectations, not short-term price spikes that monetary policy cannot address. With the OCR at 2.25%, still below the estimated neutral range of 2.5–3.5%, monetary policy remains accommodative. However, markets have shifted their focus: the key question is no longer how low rates could fall, but how soon they might rise. The April CPI release (Q1 2026) is crucial, as a high reading could trigger earlier hikes, while a lower reading may allow the RBNZ to maintain its on-hold stance.

Economic recovery and market implications
The recovery is fragile. Rising mortgage rates and declining consumer confidence may slow growth, with GDP forecast at 1.9% in 2026 and unemployment peaking at 5.6%. For investors, key takeaways include:
Mortgage rates are rising, affecting housing-sensitive stocks and consumer spending.
NZD remains volatile, making currency hedging more complex.
The April CPI release is a binary event that could shift OCR expectations rapidly.
Domestic inflation is important, but global forces - oil, wholesale rates, the NZD, and geopolitics - now largely determine the OCR path. The RBNZ faces a delicate balancing act with limited room for error.

3. Crude in Chaos: Oil is now trading on credibility, not just barrels

Crude oil is no longer traded purely on the basis of supply and demand. It is trading on headlines, denials, and the credibility gap between political signalling and physical disruption. That is why the latest move in oil matters. After President Trump suggested possible progress toward talks with Iran and announced a delay to planned strikes, Brent crude collapsed by roughly 11 percent in a single session, only to rebound after Iran denied any negotiations and the market refocused on real supply risk in the Gulf.

Figure 7: Brent Future



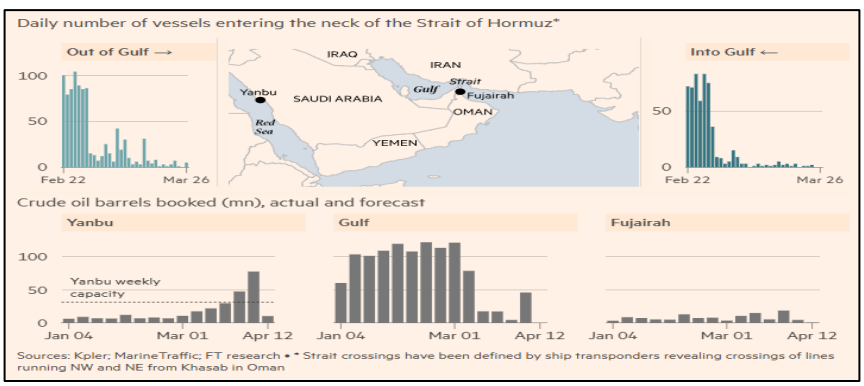
Source: ICE

The core issue is that the market is trying to price two conflicting realities at once. On one side, there is the possibility of diplomacy, or at least a pause in escalation, which would justify a sharp unwind in war premium. On the other side, the Strait of Hormuz remains the critical pressure point, with disruptions affecting a route that normally handles about one-fifth of global oil and LNG flows. Reuters reported that the conflict has already slashed Middle East oil production by an estimated 7 million to 10 million barrels per day, which means the physical supply story remains severe even when political messaging briefly turns constructive.

This is why volatility is so extreme. The market is not reacting to a stable macro framework. It is reacting to a sequence of binary events, where one statement can erase billions from oil benchmarks in hours, and one official denial can bring the risk premium back just as quickly. When diplomacy is unverified, and infrastructure damage is real, traders are forced to price both tails at the same time. That creates a market where short-term direction becomes less about trend and more about credibility, timing, and whether the next headline changes the probability of prolonged disruption.

From a management and portfolio perspective, the key takeaway is that oil is now behaving like a geopolitical option rather than a normal commodity. As long as Hormuz remains impaired and negotiations remain uncertain, price swings are likely to stay violent, even if official efforts are made to calm the market. In this environment, the right focus is not on calling the next five-dollar move. It is on stress testing inflation sensitivity, transport, and input cost exposure, and the resilience of margins under a scenario where supply constraints last longer than policymakers hope.

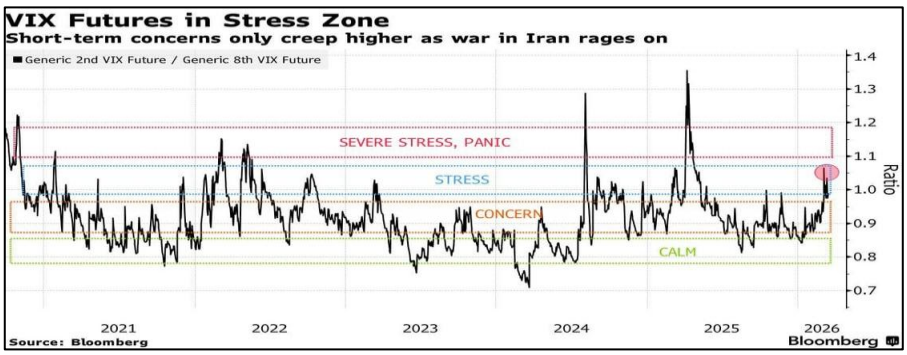
Figure 8: Hormuz Chokepoint Tracker



4. Bearish, but not broken: Why rising cash is the market's clearest warning signal

Bank of America's latest fund manager survey suggests that the market is moving out of the optimistic phase and into a more defensive one. The clearest signal is not just that sentiment has turned bearish, but how quickly it has done so. The survey's broad market mood gauge fell to a six-month low, while average cash allocations jumped to 4.3 percent from 3.4 percent in the prior month, marking the sharpest rise since March 2020. At the same time, investors cited the Iran war and stress in private credit as the main reasons for cutting risk.

Figure 9: VIX Futures in Stress Zone



What matters here is that this is not yet full capitulation. Positioning is clearly more cautious, but still not as pessimistic as the extreme risk-off mood seen during the tariff turmoil of April 2025. That distinction is important because it tells us the market is de-risking, not panicking. Investors are acknowledging that the macro environment has become more fragile, especially with oil moving toward 100 dollars a barrel and inflation risks re-entering the conversation, but they are not yet positioned for a deep recession or a full-blown credit event.

The common thread across these concerns is the labour market and the broader question of economic resilience under renewed cost pressure. Higher energy prices driven by the Iran conflict are already feeding through into weaker business sentiment and higher input costs across major economies, raising the risk of a stagflation-style backdrop. In that setting, private credit becomes more than a niche market issue. It becomes a transmission channel for broader risk aversion, especially when investors start questioning liquidity, valuations, and redemption terms in vehicles that were marketed as stable income solutions. Recent withdrawal caps and wider discounts to NAV across listed private credit vehicles show that this concern is no longer theoretical.

From a portfolio management perspective, the key takeaway is that the market is no longer trading on a simple soft landing narrative. It is trading on the probability that geopolitical shocks, energy costs, and credit stress start to reinforce each other. That does not automatically mean a major drawdown is ahead, but it does mean cash, quality, liquidity, and downside resilience are regaining value. In this phase, the most useful question is not whether sentiment has turned bearish. It clearly has. The more important question is whether earnings, central bank expectations, and credit conditions can stabilise fast enough to prevent today's de-risking from becoming tomorrow's capitulation.